↘ Use of technology: Platforms like DBT* have shown how technology can increase speed and reduce friction between the State and citizens. There is a need to expand faceless, digital, single-window interfaces to cut compliance costs and time for firms, while reducing discretionary inspections

↘ Judicial reform: The slow pace of case resolution across various judicial forums is often cited by investors as a reason for being wary of investing in India. This is one of the last big areas for reform

**District Business Reform Action Plan, #Direct Benefit Transfer*



"WHAT STANDS OUT IN THIS EFFORT IS THAT MINISTRIES ARE BEHAVING LESS LIKE REGULATORS DEFENDING TURF AND MORE LIKE PARTNERS SEARCHING FOR WORKABLE SOLUTIONS"

– JYOTI VIJ
Director-general, FICCI

becoming permanent, and non-polluting expansions will no longer require fresh environmental clearances. The potential gains are enormous. The reforms are estimated to unlock 120,000 hectares of industrial land, attract Rs 20-30 lakh crore in investment and generate 2-4 million jobs over time.

Decriminalisation Drive

Asked why much of regulatory enforcement in India is through criminal acts with jail sentences, Sabharwal is blunt: "It is because stupidity is not illegal." As a result, many citizens spend years on litigation that costs money and enormous anxiety, turning the process itself into the punishment, and clogging up India's judicial system with thousands of minor offences. The second iteration of the Jan Vishwas reforms has been the most comprehensive so far. It reviews 784 provisions across 79 central acts administered by 23 ministries. Under the Jan Vishwas (Amendment of Provisions) Act passed in March 2026, more than 1,000 offences have been rationalised by removing outdated and redundant provisions. Imprisonment mechanisms have been replaced with monetary penalties or warnings. First-time defaults in many areas now attract warnings rather than prosecution. Fines and penalties have been rationalised in proportion to the nature of the offence.

"The prime minister's guiding philosophy is the idea of minimum government, maximum governance," says Dr Mishra. "That the state's role is to enable, not to obstruct. This reflects the deeper shift from a culture of suspicion to a culture of trust. For decades, minor, technical and procedural lapses were treated as criminal offences, and the entrepreneur was treated as a suspect. The government's approach treats the citizen and the entrepreneur as partners in nation-building."

The reforms span a remarkably wide range of sectors. Under the Copyright Act, for example, imprisonment provisions linked to certain procedural violations are proposed to be removed. Under the Motor Vehicles framework, drivers receive a formal grace period for licence renewal. Under the Railways Act, minor passenger infractions move from criminal prosecution to civil penalties. In healthcare and trade regulation, similar shifts are underway. The labour codes, meanwhile, removed roughly 70 per cent of the criminal provisions that previously applied to employers—replacing prosecution-as-default with a system that reserves criminal sanctions for serious misconduct.

Himani Pande, additional secretary, department for promotion of industry and internal trade (DPITT), the nodal authority for putting together the provisions of the amended Jan Vishwas Act, says more than being an exercise in easing business regulations, it was an attempt to redefine the relationship between citizens and the state. "The central principle was deceptively simple: minor procedural mistakes and technical infractions should not automatically invite criminal prosecution," she says. "Instead of treating every violation as a crime, the government sought to create a graduated framework of warnings, advisories and civil penalties. The objective was to replace a culture of fear with one of ease of compliance." The next phase, she believes, will move beyond decriminalising existing rules to changing how India writes regulations altogether.

Experts are candid about the competition India faces. Vietnam, Indonesia and Mexico are chasing the same global supply-chain opportunities. Each successive year of regulatory friction is a year in which investment that could have come to India goes elsewhere. That outcome requires not just better highways and cheaper power, but the removal of the invisible barriers—the overlapping approvals, the annual renewals, the inspector visits, the unclear guidelines—that make India harder to invest in than it needs to be. "We are looking at regulation not through the prism of compliance but through the prism of competitiveness. We are not just removing regulations, but making the regulatory framework contemporary, modern and predictable. This may be the worst of times because of global challenges. But it is the best of times for India to push through these regulatory reforms to achieve an 8-plus per cent GDP growth annually," says Chandrajit Banerjee, director-general of CII.

Yet the deregulation drive is only beginning. Large swathes of the economy remain tangled in red tape, and it would take years for the real impact of the reforms to show. What these reforms do represent is an attempt to replace a governance model built on a simple but damaging assumption: that economic activity requires constant permission and oversight, and that the default relationship between the state and the citizen is one of suspicion. The new framework relies instead on self-certification, third-party verification, digital monitoring and risk-based enforcement. The state's role shifts from inspector to auditor, from the institution that must say yes before anything can begin to the institution that intervenes when something goes wrong. The Modi government's most consequential economic legacy, then, may be not merely something that it built. It may be something the prime minister chose, quietly and systematically, to tear down. ■